Have A Plan. Stick To It.

HERE IS THE DRILL:

The debacle *du jour* occurs: Klaxon horns sound, lights flash, and suddenly, everyone is urging you to take action—do something! *Anything*!—about these important breaking news items. Pandemic! War! Crash! No matter what occurs, someone is urging you to update your portfolio.

My best advice: Always ignore them.

Maybe it was the Flash Crash, the US fiscal cliff, Brexit (Grexit, too), a 20% drawdown in Q4 2018, a continuing resolution funding bill, the 34% pandemic crash, the Russian invasion of Ukraine, or the Israeli/Hamas/Hezbollah (and Iran?) war. Maybe it was the 18% S&P 500 slide with a 33% crash in the Nasdaq 100 in 2022.

Regardless of the event, you are told to rouse yourself from your slumber and get busy getting busy. Pull on your big-boy pants, and rotate out of this sector and into that sector! Buy this, sell that! And hurry! You must do this NOW!

Sigh

Or not.

My charge is constantly reminding people that the best time to read the safety card on the seatback in front of them is before their jet takes off. At 30,000 feet, with one engine out and the other on fire, you probably missed the best opportunity to think calmly and clearly about your options.

Planning ahead allows you to make decisions rationally and free from emotional distress. Waiting until trouble hits to decide what to do means you are likely deferring to your limbic system, which is the path to panicky decision-making.

It's the same every time: Something bad happens somewhere, and markets become unhinged. A substantial sell-off ensues, and the usual suspects